



Ch1: Lect 2

Company Accounting

— Dr. Hana —



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Subjects Online

Lect 2 CA "Accounting"

Presenting Non-Cash Assets in Partnership Formation

تمهيد

في المحاضرة اللي فاتت اتعلمنا إزاي شريك بيدفع حصته كاش. دلوقتي بندخل في الجزء الأصعب والأهم — لما الشريك مش عنده كاش ومدفعش، لكن عنده أصول غير نقدية (عقارات، سيارات، معدات، ديون لصالحه). المحاضرة دي هي قلب مادة الشراكة كلها — كل أسئلة الامتحانات العملية بتيجي منها. ركز كويس لأن الأمثلة هنا بتتدرج في الصعوبة من بسيطة لمركبة جداً.

PART 1: Presenting Physical Non-Cash Assets

Point 1: The Core Rule for Recording Non-Cash Assets

"In this case physical assets are transferred and recorded by market value (fair value). If market value isn't given, they will be recorded by book value [cost – accumulated depreciation]."

الشرح:

القاعدة الذهبية لتسجيل الأصول غير النقدية:

Fair Value (Market Value) → الأولوية الأولى

Book Value = Cost – Accumulated Depreciation → لو مش موجودة

ليه Fair Value وليس Book Value؟

الشركة الجديدة بتبدأ من الصفر فلازم الأصول تتسجل بقيمتها الحقيقية دلوقتي في السوق، مش بالقيمة اللي كانت عند الشريك في كتبه القديمة. الـ Book Value بتعكس تاريخ شراء الأصل ناقص الإهلاك ده مش بالضرورة يعكس قيمته الحقيقية.

Point 2: The Three Probabilities (Cash Settlement)

"Note that: cash value in this entry depends on the comparison between partner's share in partnership's capital and the value of assets he presented to the partnership."

"In case that, there is a cash agreement between partners, so any difference exists between the value of assets presented by the partner and his share in the partnership's capital, will be settled in cash."

"3 probabilities:"

"1- The value of assets presented by the partner and his share in the partnership's capital are equal → no cash will be paid or received."

"2- The value of assets presented by the partner is greater than his share → partner will withdraw cash from partnership equal to the overpaid amount."

"3- The value of assets presented by the partner is less than his share → partner will pay cash to partnership by the remaining amount."

الشرح:

ده قلب الموضوع كله — ولازم تفهمه كويس جداً.

لما شريك بيحول أصول، في مقارنة أساسية:

- 1 Net Assets Transferred (Fair/Book Value بالـ)
- 2 مقارنة بـ
- 3 Partner's Share in Capital

الحالة الأولى: $\text{Assets} = \text{Share}$ → لا يوجد كاش

- 1 Net Assets = Share in Capital
- 2 → مفيش فرق → مفيش كاش في القيد

الحالة الثانية: $\text{Assets} > \text{Share}$ → الشريك يسحب كاش

- 1 Net Assets > Share in Capital
- 2 → الشريك حول أكثر من حصته
- 3 → الفرق بيرجع ليه كاش من الشركة
- 4 جانب الشريك Credit بيتسجل في الـ Cash →

مثال بسيط: حصة الشريك \$80,000، أصوله بـ \$100,000 → يسحب \$20,000 كاش من الشركة.

الحالة الثالثة: $\text{Assets} < \text{Share}$ → الشريك يدفع كاش

- 1 Net Assets < Share in Capital
- 2 → الأصول التي حولها أقل من حصته
- 3 → لازم يكمل الباقي كاش للشركة
- 4 → جانب الشريك Debit بيتسجل في الـ Cash

مثال بسيط: حصة الشريك \$80,000، أصوله بـ \$50,000 → يدفع \$30,000 كاش للشركة.

! Exam Trap

كتير من الطلاب بيتخلطوا في اتجاه الكاش — افكر:

- **Assets > Share** → الشريك يأخذ كاش → **Credit** في الـ Cash
- **Assets < Share** → الشريك يدفع كاش → **Debit** في الـ Cash

Point 3: The Journal Entry Structure

"In this case the entry will be as follows:"

Date	Accounts	Dr.	Cr.
	Assets	xxx	
	Cash (complementary)	xxx	
	Partner (name) Capital		xxx
	Cash (complementary)		xxx

الشرح:

القيد بيحتوي على:

في الـ Debit:

- الأصول المحولة (بالـ Fair Value أو Book Value)

- الكاش (لو الشريك دافع كاش إضافي — الحالة 3)

في ال Credit:

- Partner's Capital (حصته المتفق عليها)
- الكاش (لو الشريك سحب كاش — الحالة 2)
- أي خصوم (Liabilities) بتتحول مع الأصول



Quiz — Part 1 🎯

Question 1:

A partner contributes equipment with a cost of \$120,000, accumulated depreciation of \$40,000, and a fair value of \$90,000. At what value should the equipment be recorded in the partnership books?

- A) \$120,000 (historical cost)
- B) \$80,000 (book value)
- C) \$90,000 (fair value)
- D) \$40,000 (accumulated depreciation)

شرح الإجابة: الإجابة الصح هي C.

ال Fair Value موجودة (\$90,000) → بنستخدمها مباشرة.

ال Book Value = $120,000 - 40,000 = \$80,000$

بس بنستخدمها بس لما ال Fair Value مش موجودة.

ال Historical Cost وال Accumulated Depreciation مش بنستخدمهم في حد ذاتهم للتسجيل.

Question 2:

A partner's share in capital is \$70,000. He contributes assets with a fair value of \$95,000. Assuming a cash settlement agreement, what happens?

- A) The partner pays \$25,000 cash to the partnership
- B) The partner receives \$25,000 cash from the partnership
- C) No cash settlement is needed
- D) The partner's capital is recorded as \$95,000

شرح الإجابة:

الإجابة الصح هي B.

الأصول (\$95,000) < الحصة (\$70,000) → الشريك حول أكثر من حصته بـ \$25,000 → يسحب \$25,000 كاش من الشركة.

Question 3:

A partner's share in capital is \$100,000. She contributes a building with fair value of \$85,000. A cash settlement agreement exists. What is the correct journal entry direction for Cash?

- A) No cash entry needed
- B) Cash is Debited (partner pays in)
- C) Cash is Credited (partner takes out)
- D) Cash equals the fair value of the building

شرح الإجابة:

الإجابة الصح هي B

الأصول (\$85,000) > الحصة (\$100,000) → الشريك حول أقل من حصته بـ \$15,000 → يدفع \$15,000 كاش للشركة → Cash بيتسجل في الـ Debit.

القاعدة: Assets < Share → الشريك يدفع → Cash Debit.

Question 4:

A partner's contribution equals exactly his share in capital. Which statement is correct?

- A) The partner must pay cash equal to the asset value
- B) The partner receives cash back from the partnership
- C) No cash is paid or received — the capital equals net assets transferred
- D) The entry includes a credit to Cash

شرح السؤال: سؤال على الحالة الأولى من الاحتمالات الثلاثة — لما الأصول = الحصة بالظبط.

شرح الإجابة: الإجابة الصح هي C.

لما Net Assets = Share in Capital بالظب مفيش فلوس بتتحرك. القيد بيشمل الأصل في الـ Debit والـ Capital في الـ Credit بس — من غير أي كاش.

Question 5 (Essay):

Explain the three probabilities that can arise when a partner contributes non-cash assets to a partnership. For each probability, describe what happens, which direction Cash moves in the journal entry, and provide a numerical example.

Model Answer:

When a partner contributes non-cash assets, the fair value (or book value if fair value is unavailable) of net assets transferred is compared to the partner's agreed share in capital. Three outcomes are possible:

Probability 1: Net Assets = Share in Capital

No cash settlement is needed. The entry simply debits the assets at their fair value and credits the partner's capital at the agreed share. No Cash account appears.

Example: Partner's share = \$60,000; contributes equipment worth \$60,000.

Entry: Equipment Dr. 60,000 / Capital Cr. 60,000.

Probability 2: Net Assets > Share in Capital

The partner contributed more than their agreed share. The excess is returned to them in cash — the partner WITHDRAWS cash from the partnership. Cash is recorded on the CREDIT side.

Example: Partner's share = \$60,000; contributes assets worth \$80,000.

Excess = \$80,000 – \$60,000 = \$20,000 withdrawn.

Entry: Assets Dr. 80,000 / Capital Cr. 60,000 / Cash Cr. 20,000.

Probability 3: Net Assets < Share in Capital

The partner contributed less than their agreed share. They must pay the shortfall in cash to the partnership — the partner PAYS cash in. Cash is recorded on the DEBIT side.

Example: Partner's share = \$60,000; contributes assets worth \$45,000.

Shortfall = \$60,000 – \$45,000 = \$15,000 paid in.

Entry: Assets Dr. 45,000 / Cash Dr. 15,000 / Capital Cr. 60,000.

Key memory rule: Assets > Share → partner takes cash out (Cash Credit). Assets < Share → partner pays cash in (Cash Debit).



PART 2: Worked Examples — Physical Non-Cash Assets

Point 4: Example 1 — Two Partners, One Cash + One Non-Cash

"A and M agreed to form a partnership with Total capital \$150,000. A's share in capital is \$50,000 and he paid it in Cash. But M presented the following assets as a payment for his share; knowing that the difference between M's contribution and his share in the capital should be settled in Cash:"

Asset	Market Value	Book Value
Building	50,000	45,000 (Cost) / (25,000) Acc. Dep.
Cars	20,000	30,000 (Cost) / (5,000) Acc. Dep.

الشرح:

خطوة 1: احسب حصة كل شريك

- Partner A: Share = \$50,000 (Given مباشرة)
Partner M: Share = 150,000 - 50,000 = \$100,000

خطوة 2: قيد Partner A (كاش بسيط)

Date	Accounts	Dr.	Cr.
	Cash	50,000	
	Partner A's Capital		50,000

خطوة 3: احسب Net Assets لـ Partner M

- Building → Market Value 50,000\$ = موجودة ✓
- Cars → Market Value 20,000\$ = موجودة ✓
-
- Total Net Assets = 50,000 + 20,000 = \$70,000

خطوة 4: قارن Net Assets بالـ Share

- Share = \$100,000
- Net Assets = \$70,000
- Net Assets < Share → 30,000\$ = 70,000 - 100,000 = الفرق
- Partner M كاش للشركة 30,000\$ → Debit في الـ Cash

خطوة 5: قيد Partner M

Date	Accounts	Dr.	Cr.
	Building	50,000	
	Cars	20,000	
	Cash (complementary)	30,000	
	Partner M's Capital		100,000

خطوة 6: Opening Balance Sheet

Assets		Liabilities & O.E	
Cash (50,000 + 30,000)	80,000	A's Capital	50,000
Building	50,000	M's Capital	100,000
Cars	20,000		
Total	150,000	Total	150,000

⚠ Exam Trap:

لاحظ إن الـ Book Values للـ Building والـ Cars تتجاهلوا كلياً لأن الـ Market Value موجودة. ومفيش حاجة اسمها "Accumulated Depreciation" في الميزانية الافتتاحية للشركة الجديدة — الأصول بتبدأ بـ Fair Value نظيفة.



Point 5: Example 2 — Ratio "Twice as Much" + Missing Market Value

"S and M agreed to form a partnership with Total capital \$360,000. S's share in capital is as twice as M's share and she paid it in Cash. But M presented the following assets:"

Asset	Market Value	Book Value
Equipment	Not Available	90,000 – (20,000) Acc. Dep. = 70,000
Building	60,000	70,000 – (30,000) Acc. Dep. = 40,000

الشرح:

خطوة 1: افهم "twice as much"

S's share = 2 × M's share

S + M = 360,000

2M + M = 360,000

3M = 360,000

M = 120,000

S = 240,000

نسبة: $\checkmark S = 2/3 \times 360,000 = 240,000$

$M = 1/3 \times 360,000 = 120,000 \checkmark$

خطوة 2: قيد Partner S (كاش بسيط)

Accounts	Dr.	Cr.
Cash	240,000	
Partner S's Capital		240,000

خطوة 3: احسب Net Assets لـ Partner M

Equipment → Market Value = "Not Available"

→ نستخدم Book Value = 90,000 – 20,000 = \$70,000

✓ موجودة Building → Market Value 60,000\$

Total Net Assets = 70,000 + 60,000 = \$130,000

خطوة 4: قارن

- 1 Share = \$120,000
- 2 Net Assets = \$130,000
- 3 Net Assets > Share → 10,000\$ = 120,000 - 130,000 = الفرق
- 4 Partner M Credit في الـ Cash → تسحب 10,000\$ كاش من الشركة Partner M

خطوة 5: قيد Partner M

Accounts	Dr.	Cr.
Equipment	70,000	
Building	60,000	
Partner M's Capital		120,000
Cash (complementary)		10,000

خطوة 6: Opening Balance Sheet

Assets		Liabilities & O.E	
Cash (240,000 – 10,000)	230,000	S's Capital	240,000
Equipment	70,000	M's Capital	120,000
Building	60,000		
Total	360,000	Total	360,000

Quiz — Part 2 🎯

Question 1:

A partner contributes: Land (Fair Value = \$45,000) and Equipment (No Fair Value, Cost = \$60,000, Accumulated Depreciation = \$15,000). What is the total net asset value contributed?

- A) \$105,000
- B) \$90,000
- C) \$45,000
- D) \$60,000

شرح الإجابة:

الإجابة الصح هي B.

Land = Fair Value = \$45,000.

Equipment = No Fair Value → Book Value = 60,000 – 15,000 = \$45,000.

Total = 45,000 + 45,000 = **\$90,000**.

الخطأ الشائع إن الطالب بياخد Cost ال (\$60,000) Equipment بدل ال Book Value.

Question 2:

Partner X's share in capital is \$80,000. He contributes a car with fair value of \$95,000. The partnership assumes a note payable of \$8,000 related to the car. Is there a cash settlement? If yes, in which direction?

- A) X pays \$15,000 cash in (Debit)
- B) X receives \$7,000 cash out (Credit)
- C) X receives \$15,000 cash out (Credit)
- D) No cash settlement needed

شرح الإجابة: الإجابة الصح هي B.

Net Assets = Fair Value – Liability = 95,000 – 8,000 = **\$87,000**.

Share = \$80,000.

→ يسحب \$7,000 كاش X → الفرق = \$7,000 → Net Assets (\$87,000) > Share (\$80,000)
Credit. في ال Cash

Question 3:

When S's share is "twice as much" as M's share in a partnership with total capital of \$450,000, what is each partner's capital?

- A) S = \$150,000; M = \$300,000
- B) S = \$225,000; M = \$225,000
- C) S = \$300,000; M = \$150,000
- D) S = \$200,000; M = \$250,000

شرح الإجابة:

الإجابة الصح هي C.

"S's share is twice M's share" → $S = 2M$.

إذن:

$$2M + M = 450,000 \rightarrow 3M = 450,000 \rightarrow M = \$150,000 \rightarrow S = \$300,000.$$

Option A

عكس الصح — يبحسب M هي الضعف بدل S.

Question 4:

In Example 1, why is there no Accumulated Depreciation account for the Building and Cars in the Opening Balance Sheet?

- A) Because the assets were not depreciated before the partnership
- B) Because the assets are recorded at fair value in the new partnership — a fresh start
- C) Because depreciation is only recorded at year-end
- D) Because the partnership is exempt from accounting standards

شرح الإجابة:

الإجابة الصح هي B.

الشركة الجديدة بتبدأ من الصفر (Fresh Start) — الأصول بتتسجل بـ **Fair Value** مباشرة.

مفيش تاريخ للإهلاك في الشركة الجديدة. الإهلاك المتراكم كان موجود في كتب الشريك القديمة — الشراكة لا ترثه.

Question 5 (Essay):

Using Example 2 as a reference: S and M form a partnership with total capital \$360,000. S's share is twice M's share and paid in cash. M contributes: Equipment (no fair value, cost \$90,000, accumulated depreciation \$20,000) and Building (fair value \$60,000). Difference settled in cash.

Show all steps: calculate shares, determine asset values, compare, prepare both journal entries, and prepare the opening balance sheet.

Model Answer:

Step 1: Calculate shares

S's share = twice M's $\rightarrow$ let $M = x$, then $S = 2x \rightarrow 3x = 360,000 \rightarrow x = 120,000$

S's Capital = \$240,000 | M's Capital = \$120,000

Step 2: Partner S Journal Entry

1	Cash	240,000	
2	Partner S's Capital		240,000

Step 3: Determine M's asset values

- Equipment: No fair value $\rightarrow$ Book Value = $90,000 - 20,000 = \text{\$70,000}$
- Building: Fair value given = **\$60,000**
- Total Net Assets = $70,000 + 60,000 = \text{\$130,000}$

Step 4: Compare Net Assets vs. Share

Net Assets (\$130,000) > Share (\$120,000)

Difference = \$10,000 $\rightarrow$ M WITHDRAWS \$10,000 cash $\rightarrow$ Cash is CREDITED

Step 5: Partner M Journal Entry

1	Equipment	70,000	
2	Building	60,000	
3	Partner M's Capital		120,000
4	Cash (complementary)		10,000

Step 6: Opening Balance Sheet

Assets		Liabilities & O.E	
Cash (240,000 – 10,000)	230,000	S's Capital	240,000
Equipment	70,000	M's Capital	120,000
Building	60,000		
Total	360,000	Total	360,000

PART 3: Accounts Receivable, Notes Receivable & Complex Examples

Point 6: Accounts Receivable (AR) — القاعدة الخاصة

"Accounts Receivable (AR): Accounts Receivable should be recorded by its Face Value, and the difference between Face Value and Market Value should be recorded as AFDA (Allowance For Doubtful Accounts). However; If the Market Value is not given, we should use the Old AFDA."

الشرح:

الـ AR عندها معاملة مختلفة تماماً عن باقي الأصول — لأنها ديون على عملاء مش أصل ملموس.

القاعدة:

- 2 (القيمة الاسمية = المبلغ الكامل) Face Value يتسجل دائماً بـ → AR
الفرق = Face Value – Market Value → يتسجل كـ AFDA (Credit)

الحالة الأولى: Market Value موجودة:

- 1 AFDA الجديد = Face Value – Market Value
- 2 نتجاهل الـ AFDA القديم

الحالة الثانية: Market Value غير موجودة:

- 1 نستخدم الـ AFDA القديم (Old AFDA) كما هو

ليه AR مختلفة؟

لأن الـ AR هي مبالغ مستحقة من عملاء — بسجلها بالمبلغ الاسمي الكامل (Face Value) عشان يتضح المبلغ المطلوب تحصيله، ونعمل مخصص (AFDA) للمبالغ اللي خايفين ما تتحصلش.

Point 7: Notes Receivable (NR) — نفس المعاملة بحساب مختلف

"Notes Receivable (NR): Notes Receivable should be treated exactly as Accounts Receivable but instead of using AFDA we use another account called Allowance For Discounting Note (AFDN)."

الشرح:

الـ NR (الأوراق التجارية / الكمبيالات) بتتعامل بنفس منطق الـ AR لكن بحساب مختلف:

AR → AFDA (Allowance For Doubtful Accounts)

NR → AFDN (Allowance For Discounting Note)

المعادلة:

$AFDN = \text{Face Value of NR} - \text{Market Value of NR}$

Point 8: Example 3 — AR with and without Market Value

"Partner A's capital share is \$7,000. He presented AR with Face Value \$10,000, AFDA \$2,000, Book Value \$8,000. Required: Prepare journal entries if: 1- Market Value = \$7,000. 2- Market Value not given."

الشرح:

الحالة الأولى: Market Value = \$7,000 موجودة

$AFDA \text{ الجديد} = \text{Face Value} - \text{Market Value} = 10,000 - 7,000 = \$3,000$

نتجاهل الـ AFDA القديم (\$2,000)

المقارنة:

Market Value of AR = \$7,000

Partner's Share = \$7,000

Net Assets = Share → مفيش كاش!

Accounts	Dr.	Cr.
Accounts Receivable	10,000	
AFDA		3,000
Partner A's Capital		7,000

الحالة الثانية: Market Value غير موجودة

نستخدم Old AFDA = \$2,000 (موجود في البيانات)

قيمة الـ AR الصافية = $10,000 - 2,000 = 8,000\$$

المقارنة:

Net AR Value = \$8,000

Partner's Share = \$7,000

Net Assets (\$8,000) > Share (\$7,000)

الفرق = $1,000\$$ → الشريك يسحب $1,000\$$ كاش → Cash Credit

Accounts	Dr.	Cr.
Accounts Receivable	10,000	
AFDA		2,000
Partner A's Capital		7,000
Cash (complementary)		1,000

⚠ Exam Trap

مهم جداً: في الحالة الثانية، قيمة الـ AR الصافية ($8,000\$$) أكبر من حصة الشريك ($7,000\$$) — فالشريك يسحب الفرق $1,000\$$ كاش. الطلاب بيتخلطوا هنا ومش بيحسبوا الكاش الإضافي.

Point 9: Example 4 — Mixed Contributions + Liability + Equal Capital

"A and B begin a Partnership. A invested \$40,000 Cash and Inventory costing \$9,000 but with market value \$12,000. B presented a building with book value \$40,000 and market value \$48,000. The partnership also accepts a \$10,000 note payable related to the building. Partners agreed to begin with equal capital balances of \$52,000 each. B insisted to pay any deficit in Cash."

الشرح:

Partner A: Share = \$52,000 (Given)

Cash = \$40,000

Inventory → Market Value = \$12,000 (Cost \$9,000 تجاهل الـ)

Total Assets = 40,000 + 12,000 = \$52,000

Net Assets = \$52,000 = Share ✓ → مفيش كاش إضافي

Accounts	Dr.	Cr.
Cash	40,000	
Inventory	12,000	
Partner A's Capital		52,000

Partner B: Share = \$52,000 (Given)

- 1 Building → Market Value = \$48,000 ✓
- 2 Less: Note Payable = (\$10,000)
- 3 Net Assets = 48,000 - 10,000 = \$38,000
- 4
- 5 Net Assets (\$38,000) < Share (\$52,000)
- 6 14,000\$ = 38,000 - 52,000 = الفرق
- 7 B يدفع 14,000\$ كاش للشركة → Cash Debit

Accounts	Dr.	Cr.
Building	48,000	
Cash (complementary)	14,000	
Notes Payable		10,000
Partner B's Capital		52,000

Opening Balance Sheet:

Assets		Liabilities & O.E	
Cash (40,000 + 14,000)	54,000	Notes Payable	10,000
Inventory	12,000	A's Capital	52,000
Building	48,000	B's Capital	52,000
Total	114,000	Total	114,000

Point 10: Example 5 — Three Partners, Ratio 2:2:1

"A, B, and C with total capital \$200,000 in ratio 2:2:1. A pays in Cash. B contributes Car (cost \$100,000, market value \$50,000). C contributes Equipment (cost \$110,000, market value \$60,000). Each partner pays/withdraws difference in Cash."

الشرح:

خطوة 1: احسب الحصص

Total Parts = 2+2+1 = 5

A's Share = $200,000 \times \frac{2}{5} = \$80,000$

B's Share = $200,000 \times \frac{2}{5} = \$80,000$

C's Share = $200,000 \times \frac{1}{5} = \$40,000$

Partner A: كاش بسيط

Accounts	Dr.	Cr.
Cash	80,000	
Partner A's Capital		80,000

Partner B:

Car → Market Value = \$50,000 ✓

Net Assets = \$50,000

Share = \$80,000

Net Assets (\$50,000) < Share (\$80,000)

Cash Debit → الفرق = 30,000\$ يدفع B → 30,000\$ كاش

Accounts	Dr.	Cr.
Cars	50,000	
Cash (complementary)	30,000	
Partner B's Capital		80,000

Partner C:

Equipment → Market Value = \$60,000 ✓

Net Assets = \$60,000

Share = \$40,000

Net Assets (\$60,000) > Share (\$40,000)

الفرق = 20,000\$ يسحب C → 20,000\$ كاش → Cash Credit

Accounts	Dr.	Cr.
Equipment	60,000	
Partner C's Capital		40,000
Cash (complementary)		20,000

Opening Balance Sheet:

Assets		Liabilities & O.E	
Cash (80,000 + 30,000 – 20,000)	90,000	A's Capital	80,000
Cars	50,000	B's Capital	80,000
Equipment	60,000	C's Capital	40,000
Total	200,000	Total	200,000

Quiz — Part 3

Question 1:

A partner presents AR with face value \$20,000. The partners agree the market value is \$17,000. What is the AFDA recorded in the partnership books?

- A) \$17,000
- B) \$3,000
- C) \$20,000
- D) It depends on the old AFDA

شرح السؤال: سؤال مباشر على حساب الـ AFDA الجديد لما الـ Market Value موجودة.
شرح الإجابة:

الإجابة الصح هي B.

$$\text{AFDA الجديد} = \text{Face Value} - \text{Market Value} = 20,000 - 17,000 = \$3,000$$

الـ AR بيتسجل بالـ Face Value (\$20,000) في الـ Debit، والـ (\$3,000) AFDA في الـ Credit.

الـ Old AFDA بنتجاهله لما Market Value موجودة.

Question 2:

In Example 4, why does Partner B's journal entry include Cash as a DEBIT?

- A) Because B is withdrawing excess cash from the partnership
- B) Because B's net assets (\$38,000) are less than his capital share (\$52,000), so he pays in the difference
- C) Because the note payable must be paid immediately in cash
- D) Because A contributed \$40,000 in cash and B must match it

شرح الإجابة: الإجابة الصح هي B.

Question 3:

In Example 5, what is the Cash balance in the Opening Balance Sheet?

- A) \$80,000
- B) \$110,000
- C) \$90,000
- D) \$60,000

شرح الإجابة:

الإجابة الصح هي C.

Question 4:

A partner contributes Notes Receivable with Face Value \$50,000 and Market Value \$44,000. What account replaces AFDA for Notes Receivable, and what is its value?

- A) AFDA of \$6,000
- B) AFDN (Allowance for Discounting Note) of \$6,000
- C) AFDN of \$44,000
- D) Bad Debt Expense of \$6,000

شرح السؤال: سؤال على الحساب الخاص بالـ Notes Receivable والفرق بينه وبين الـ Accounts Receivable.

شرح الإجابة: الإجابة الصح هي B.

الـ NR يتعامل زي الـ AR بس الـ Allowance بيتسمى (AFDN (Allowance for Discounting Note) مش AFDA.

القيمة = Face Value – Market Value = 50,000 – 44,000 = \$6,000

Option A

غلط الاسم (AFDA خاص بالـ AR). Option C هي قيمة الـ Market Value مش الـ Allowance.

Question 5 (Essay):

Explain the special treatment of Accounts Receivable (AR) in partnership formation. Then solve the following: Partner X's capital share is \$15,000. He presents AR with Face Value \$20,000, Old AFDA \$3,000. Required: Prepare journal entries under TWO scenarios — (1) Market Value of AR = \$15,000, and (2) Market Value is not given. Explain the difference.

Model Answer:

Special Treatment of AR:

Unlike physical assets, Accounts Receivable are recorded at their FACE VALUE (the full nominal amount due from customers), NOT at market/realizable value. The difference between Face Value and Market Value is recorded as AFDA (Allowance for Doubtful Accounts) on the Credit side. This preserves the gross receivable while acknowledging the risk of non-collection.

Scenario 1: Market Value = \$15,000

New AFDA = Face Value – Market Value = 20,000 – 15,000 = \$5,000

Old AFDA (\$3,000) is IGNORED.

Net AR = \$15,000 = Partner's Share → No cash settlement needed.

1	Accounts Receivable	20,000	
2	AFDA		5,000
3	Partner X's Capital		15,000

Scenario 2: Market Value NOT given

Old AFDA = \$3,000 is used.

Net AR = 20,000 – 3,000 = \$17,000

Net Assets (\$17,000) > Share (\$15,000)

Difference = \$2,000 → X WITHDRAWS \$2,000 cash → Cash Credit

1	Accounts Receivable	20,000	
2	AFDA		3,000
3	Partner X's Capital		15,000
4	Cash (complementary)		2,000

Key Difference:

When Market Value IS given: we calculate a NEW AFDA and ignore the old one. The Net AR equals Market Value, which may or may not match the capital share.

When Market Value is NOT given: we use the OLD AFDA as-is. This gives a different net AR, which may create a cash settlement even if the same AR is involved.

PART 4: Example 6 — The Comprehensive MCQ Question**Point 11: Example 6 — H & L Partnership (The Full Complex Case)**

"H & L agreed to form a partnership with Total Capital \$600,000 to be divided Equally."

Partner H's Assets:

Asset	Book Value	Market Value
Building	180,000 – (60,000) Acc. Dep. = 120,000	144,000
AR	150,000 – (30,000) AFDA = 120,000	Not Available
NR	90,000	75,000

Partner L's Assets:

Asset	Book Value	Market Value
Cars	100,000 – (20,000) Acc. Dep. = 80,000	Not Available
AR	195,000 – (28,000) AFDA = 167,000	170,000

Additional Info:

- Building of H is obligated by Mortgage Payable of \$21,000 (transferred to company)
- Difference settled in Cash

الشرح:

ده المثال الأكثر تعقيداً في المحاضرة — يجمع كل القواعد مع بعض. خليني أحله خطوة بخطوة:

خطوة 1: احسب الحصص

- 1 Total Capital = $\$600,000 \div 2 = \$300,000$ each
- 2 H's Share = $\$300,000$
- 3 L's Share = $\$300,000$

خطوة 2: Partner H — احسب Net Assets

Building:

→ Market Value = $\$144,000$ ✓

AR:

→ Market Value "Not Available" → نستخدم Old AFDA = $\$30,000$

→ Net AR = $150,000 - 30,000 = \$120,000$

→ AR يتسجل بـ Face Value = $\$150,000$

NR:

→ Market Value = $\$75,000$

→ AFDN = Face Value – Market Value = $90,000 - 75,000 = \$15,000$

→ NR يتسجل بـ Face Value = $\$90,000$

→ Net NR = $\$75,000$

Mortgage Payable: ($\$21,000$) → خصم من الأصول

Net Assets H = Building + Net AR + Net NR – Mortgage

= $144,000 + 120,000 + 75,000 - 21,000$

= $\$318,000$

مقارنة H:

- 1 Net Assets (\$318,000) > Share (\$300,000)
- 2 Cash Credit → الفرق = 18,000\$ H → يسحب 18,000\$ كاش

قيد Partner H:

Accounts	Dr.	Cr.
Building	144,000	
Accounts Receivable	150,000	
Notes Receivable	90,000	
AFDA (old)		30,000
AFDN (90,000 – 75,000)		15,000
Mortgage Payable		21,000
Partner H's Capital		300,000
Cash (complementary)		18,000

خطوة 3: Partner L — احسب Net Assets

Cars:

→ Market Value "Not Available" → Book Value نستخدم = $100,000 - 20,000 = \$80,000$

AR:

→ Market Value = \$170,000 ✓ → جديد AFDA نحسب

→ AFDA الجديد = $170,000 - 195,000 = 25,000\$$

→ نتجاهل Old AFDA (\$28,000)

→ Net AR = \$170,000

Net Assets L = Cars + Net AR

= $80,000 + 170,000$

= \$250,000

مقارنة L:

- 1 Net Assets (\$250,000) < Share (\$300,000)
- 2 Cash Debit → L يدفع 50,000\$ كاش = الفرق 50,000\$ → L

قيد Partner L:

Accounts	Dr.	Cr.
Cars	80,000	
Accounts Receivable	195,000	
Cash (complementary)	50,000	
AFDA (new)		25,000
Partner L's Capital		300,000

خطوة 4: Opening Balance Sheet

Assets		Liabilities & O.E	
Cash (50,000 – 18,000)	32,000	Mortgage Payable	21,000
AR (150,000 + 195,000)	345,000		
(–) AFDA (30,000 + 25,000)	(55,000)	Net AR = 290,000	H's Capital
NR	90,000		
(–) AFDN	(15,000)	Net NR = 75,000	L's Capital
Building	144,000		
Cars	80,000		
Total	621,000	Total	621,000

إجابات الأسئلة الستة:

1. Building قيد H:

Building = Fair Value = \$144,000 ال Debit → الإجابة: B

2. AR قيد H:

AR = Face Value = \$150,000 ال Debit → الإجابة: C

3. AFDA قيد L:

AFDA = $195,000 - 170,000 = \$25,000$ ال Credit → الإجابة: A

4. Cash قيد H:

H 18,000\$ يسحب → Cash ال Credit → الإجابة: C

5. Cash الميزانية:

D الإجابة: $\$32,000 = 18,000 - 50,000$

6. Total Assets الميزانية:

D الإجابة: $\$621,000 = 80,000 + 144,000 + 75,000 + 290,000 + 32,000 =$



Thank You!

For Reading

Your journey **matters**.
Keep learning, keep exploring,
and build the future you deserve.



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YOUR SUBJECTS



UNDERSTAND
YOUR DEPARTMENTS



BUILD
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